

# **GST (Service Tax Specific)**

## **PART A: SERVICE TAX UNDER GST**

### **1. Introduction to GST**

- **Goods and Services Tax (GST)** is a comprehensive indirect tax introduced in India on **1 July 2017**.
- GST replaced multiple indirect taxes, including:
  - Service Tax
  - Central Excise Duty
  - VAT
  - Entertainment Tax
  - Luxury Tax
  - Entry Tax
- GST follows the principle of "**One Nation, One Tax**".

### **Constitutional Provision**

- GST was introduced through the **101st Constitutional Amendment Act, 2016**.

### **Governing Laws**

GST is governed by:

1. Central Goods and Services Tax Act, 2017 (CGST)
2. State Goods and Services Tax Act, 2017 (SGST)
3. Integrated Goods and Services Tax Act, 2017 (IGST)
4. Union Territory Goods and Services Tax Act, 2017 (UTGST)

## 2. Meaning of Service under GST

According to **Section 2(102) of CGST Act, 2017**:

"Service means anything other than goods, money and securities."

### Examples of Services:

- Banking services
- Insurance services
- Consultancy services
- Legal services
- IT services
- Transportation services
- Advertising services

## 3. Difference Between Service Tax and GST

| Basis          | Service Tax          | GST                      |
|----------------|----------------------|--------------------------|
| Law            | Finance Act, 1994    | GST Acts, 2017           |
| Effective Date | 1994                 | 1 July 2017              |
| Taxable Event  | Provision of service | Supply of goods/services |
| Rate           | 15% before GST       | Multiple GST slabs       |
| Input Credit   | Limited              | Wider ITC availability   |
| Tax Structure  | Single tax           | Dual tax system          |

#### **4. Taxable Event under GST**

Under GST, the taxable event is **Supply**.

##### **Section 7 – Supply**

Supply includes:

- Sale
- Transfer
- Barter
- Exchange
- Licence
- Rental
- Lease
- Disposal

Conditions:

- Supply should be made by a taxable person.
- Supply should be for consideration.
- Supply should be made in the course of business.

#### **5. Levy and Collection of GST**

##### **Section 9 of CGST Act**

GST is charged on:

- Intra-state supply → CGST + SGST
- Inter-state supply → IGST

##### **Example:**

Service provided within the same state:

GST @18%

- CGST = 9%

- SGST = 9%

Service provided from one state to another:

- IGST = 18%

## 6. Registration under GST

### Section 22

A person must obtain GST registration when turnover exceeds the prescribed limit.

#### General Threshold:

| Category                | Limit                  |
|-------------------------|------------------------|
| Goods suppliers         | ₹40 lakh (many states) |
| Services suppliers      | ₹20 lakh               |
| Special category states | ₹10 lakh               |

*(Subject to state-wise conditions)*

## 7. Time of Supply of Services

### Section 13 of CGST Act

Determines when GST liability arises.

GST becomes payable on the earliest date:

1. Date of invoice issuance
2. Date of receiving payment
3. Date service is completed

## 8. Place of Supply of Services

Governed by **IGST Act, 2017**.

Purpose:

- Determine whether transaction is:
  - Intra-state
  - Inter-state

### Example:

Delhi company provides service to Delhi customer:

→ CGST + SGST

Delhi company provides service to Maharashtra customer:

→ IGST

## 9. Input Tax Credit (ITC)

Example of ITC Calculation

Purchase of Computer for Business Use:

Cost of Computer: ₹50,000

GST paid @18%: ₹9,000

Total amount paid to supplier:

₹50,000 + ₹9,000 GST

= ₹59,000

The business can claim:

ITC = ₹9,000

Sale Made by the Same Business:

Sales value: ₹1,00,000

GST collected @18%: ₹18,000

GST Liability:

GST on Sales = ₹18,000

Less: ITC available = ₹9,000

Net GST Payable = ₹9,000

**Conditions for ITC:**

1. Tax invoice available
2. Goods/services received
3. Supplier has paid tax
4. Return filed

**10. Reverse Charge Mechanism (RCM)**

**Section 9(3) and 9(4)**

Under RCM, the recipient pays GST instead of supplier.

Examples:

- Legal services by advocates
- Certain transportation services
- Government notified services

**11. GST Returns for Service Providers**

**GSTR-1**

- Details of outward supplies.

**GSTR-3B**

- Summary return and tax payment.

**GSTR-9**

- Annual return.

## 12. GST Rates on Services

| <b>GST Rate</b> | <b>Examples</b>                                                                                                       |
|-----------------|-----------------------------------------------------------------------------------------------------------------------|
| <b>0%</b>       | <b>Exempt services (certain healthcare, education, and public welfare services)</b>                                   |
| <b>5%</b>       | <b>Certain transport services and selected essential services</b>                                                     |
| <b>18%</b>      | <b>Most professional and business services (consultancy, IT services, legal services, advertising services, etc.)</b> |
| <b>40%</b>      | <b>Applicable mainly to specified luxury and sin goods (not commonly applicable to normal services)</b>               |

## PART B: COMPOSITION SCHEME UNDER GST

### 1. Meaning of Composition Scheme

- Composition Scheme is a simplified GST taxation scheme for small taxpayers.
- It allows eligible taxpayers to pay GST at a fixed percentage of turnover.
- It reduces compliance requirements.

#### Legal Provision:

#### Section 10 of CGST Act, 2017

### 2. Objectives of Composition Scheme

- Provide relief to small businesses.
- Reduce GST compliance burden.
- Simplify tax payment.
- Encourage small businesses to register under GST.

### 3. Eligibility Criteria

A taxpayer can opt for composition scheme if:

Registered under GST

Turnover is within prescribed limit

Conditions under Section 10 are satisfied

Business is not covered under restricted categories

### 4. Turnover Limit

#### A. Manufacturers and Traders

| Category                | Limit      |
|-------------------------|------------|
| Normal states           | ₹1.5 crore |
| Special category states | ₹75 lakh   |

#### B. Service Providers

Under **Section 10(2A)**:

| Category          | Limit    |
|-------------------|----------|
| Service providers | ₹50 lakh |

### 5. Persons Not Eligible for Composition Scheme

The following persons cannot opt:

#### 1. Inter-State Suppliers

Example:

A trader from Gujarat selling goods to Maharashtra.

#### 2. Casual Taxable Persons

Example:

Temporary exhibition sellers.

### 3. Non-Resident Taxable Persons

Foreign businesses registered under GST.

### 4. E-commerce Sellers

Persons supplying through e-commerce operators requiring TCS compliance.

### 5. Manufacturers of Restricted Goods

Examples:

- Ice cream
- Pan masala
- Tobacco products

### 6. GST Rates under Composition Scheme

| Type of Business  | CGST | SGST | Total |
|-------------------|------|------|-------|
| Traders           | 0.5% | 0.5% | 1%    |
| Manufacturers     | 0.5% | 0.5% | 1%    |
| Restaurants       | 2.5% | 2.5% | 5%    |
| Service providers | 3%   | 3%   | 6%    |

### 7. Payment of Tax

Composition taxpayers:

- Pay GST from their own funds.
- Cannot collect GST separately from customers.

**Example:**

Normal GST:

Product price = ₹10,000

GST @18% = ₹1,800

Customer pays = ₹11,800

Composition:

Product price = ₹10,000

GST cannot be charged separately.

### **9. Invoice under Composition Scheme**

Composition taxpayers cannot issue tax invoices.

They issue:

#### **Bill of Supply**

Contains:

- Name
- GSTIN
- Date
- Description
- Value

Mandatory statement:

**"Composition taxable person, not eligible to collect tax on supplies."**

### **10. Input Tax Credit under Composition Scheme**

Composition taxpayers:

**Cannot claim ITC.**

### **11. GST Returns under Composition Scheme**

#### **CMP-08**

- Filed quarterly.
- Contains:
  - Turnover details
  - Tax payable
  - Payment details

## **GSTR-4**

- Filed annually.
- Contains:
  - Annual turnover
  - Tax paid details

## **12. Restrictions under Composition Scheme**

Composition taxpayers cannot:

Collect GST from customers

Claim ITC

Make inter-state outward supply

Issue tax invoice

Deal in prohibited goods

## **13. Advantages of Composition Scheme**

### **1. Lower Tax Burden**

Fixed lower rate.

### **2. Simple Compliance**

Less paperwork.

### **3. Fewer Returns**

Quarterly and annual filing.

### **4. Suitable for Small Businesses**

## **14. Disadvantages of Composition Scheme**

### **1. No ITC Benefit**

Purchase GST becomes cost.

### **2. Cannot Expand Interstate Business**

**3. Cannot Sell Through Certain Channels**

**4. Customer Cannot Claim ITC**

### **15. Composition Scheme Example**

A trader has:

Annual turnover = ₹80,00,000

GST rate = 1%

Tax payable:

$₹80,00,000 \times 1\%$

**= ₹80,000 GST**

The taxpayer pays ₹80,000 without collecting GST separately.